

Sandhar Technologies Limited

NSE: SANDHAR | BSE: 541163 | Auto Ancillary — Locking Systems / Die Casting / Vision Systems

2W/4W content expansion: Smart locks + ADC acquisition accelerate revenue mix shift while EV-grade electronics offer the next re-rating lever.

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
ACCUMULATIVE	Rs. 850	+20.2%
CMP: Rs. 707	12-month horizon	from CMP

CMP (15 Jun 2026)	Rs. 707	Market Cap	Rs. 4,256 Cr
52-Week High/Low	Rs. 764 / Rs. 386	Stock P/E (TTM)	21.2x
Book Value/Share	Rs. 221	Price/Book	3.2x
ROCE (FY26)	14.4%	ROE (FY26)	16.2%
Dividend Yield	0.49%	Face Value	Rs. 10.0
Promoter Holding	70.38%	Promoter Pledge	0%
FII Holding	0.77%	DII Holding	17.39%
FY26 Revenue	Rs. 4,852 Cr	FY26 PAT	Rs. 199 Cr
FY26 EPS	Rs. 33.01	Debt (FY26)	Rs. 1,148 Cr
Investment Horizon	12-18 Months	Report Date	15 Jun 2026

Report prepared by MPM Institutional Research — For institutional use only. All financials sourced from Screener.in (consolidated), fetched 15-Jun-2026. Peer data verified individually from Screener.in on same date. Forward estimates labeled (E) are analyst projections, not company guidance.

2. INVESTMENT THESIS

- Smart Lock revenue inflection (FY26-FY28):** Sandhar is transitioning from mechanical locks (Rs. 300-500/unit) to electronic/smart locks (Rs. 3,000-5,000/unit) — a 8-10x per-unit value jump. Two large OEM programs entered production in early 2025; volumes are ramping steadily with meaningful revenue expected from H2 FY26. If Sandhar captures 15% of the 50 mn 2W unit market with smart locks by FY28, this segment alone could contribute Rs. 500-600 Cr in incremental revenue.
- Aluminium Die Casting (ADC) acquisition step-change:** The Rs. 163 Cr acquisition of Sundaram-Clayton's Hosur die-casting plant (April 2025) added a fully running operation. In just H1 FY26, it contributed Rs. 200 Cr revenue, accelerating ADC's share of Sandhar's mix from ~25% toward 30%+. ADC is structurally favoured by both ICE weight reduction (fuel efficiency mandates) and EV structural casting demand.
- Revenue CAGR of 14-20% through FY28 with margin expansion path:** FY26 revenue grew 25% to Rs. 4,852 Cr. Management has guided 10-15% organic growth in FY27 plus full-year ADC contribution. EBITDA margins of 9.0% in FY26 are expected to recover toward 9.5-10.0% by FY27 as scale benefits

kick in and the one-off integration costs from the Hosur acquisition normalise. EPS CAGR of 20-22% over FY26-FY28 is achievable without any re-rating.

- **Near-term catalyst (6-12 months):** Q1 FY27 earnings announcement (expected July-August 2026) — the first quarter with full ADC plant integration, smart lock volumes ramping, and a cleaner cost base post acquisition. A positive margin surprise (OPM > 9.5%) would validate the investment thesis and likely trigger a re-rating toward sector P/E multiples.

- **Biggest structural risk:** 2W OEM volume concentration — Honda, Bajaj, TVS, Yamaha together account for ~64% of Sandhar revenue. A sustained demand slowdown in the 2W segment (as happened in FY20-FY21) can compress both revenue and EBITDA simultaneously while the company is still absorbing high fixed-cost capacity from recent capex.

3. BUSINESS OVERVIEW

- **Core business model:** Tier-1 supplier of safety, access, vision, body and electromechanical systems to Indian OEMs. Operates on annual cost-down contracts with long-term platform relationships. Revenue is highly recurring (OEM supply agreements tied to vehicle production schedules), with switching costs embedded in tooling investment and homologation processes.

- **Product mix (FY25):** Locking Systems 20%, Aluminium Die Casting (ADC) 25%, Sheet Metal 19%, Cabins 14%, Assemblies 11%, Vision Systems (mirrors) 6%, Others 5%. ADC share is rising rapidly post-Hosur acquisition and is expected to cross 28-30% of revenue in FY26.

- **Segment mix (FY25):** 2-Wheeler 64%, Passenger Vehicle 17%, Off-Highway/Tractors 14%, Others 5%. Geographic split: India ~85%, Exports ~15% (Spain and Mexico plants serving European and Latin American OEMs).

- **Key customer relationships:** Honda Motorcycle and Scooter India, Bajaj Auto, TVS Motor, Yamaha India (2W); Maruti Suzuki, Honda Cars India (PV). Top-10 customers account for approximately 70-75% of revenue — platform lock-in is strong but concentration risk is real. India domestic OEM volumes are the primary revenue driver.

- **Manufacturing footprint:** 45+ plants across India covering locking, die casting, sheet metal and vision systems. International: 1 plant in Spain, 1 in Mexico. Hosur ADC plant (acquired April 2025) significantly expanded die-casting capacity.

- **Promoter background:** Founded by Jayant Davar (Managing Director & Co-Chairman) and family. The Davar family is a first-generation auto-ancillary entrepreneur with 30+ years in the sector. Promoter holding is stable at 70.38% across all recent quarters with zero pledge — strong governance signal.

- **Recent strategic development:** Rs. 163 Cr acquisition of Sundaram-Clayton Hosur die-casting business (April 2025) — fully operational at time of acquisition, immediately revenue-accretive. ICRA assigned AA-(Stable)/A1+ to Rs. 885 Cr of borrowing facilities (June 2026) — reaffirms investment-grade credit standing.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size & growth:** India auto-ancillary industry revenue ~Rs. 6.7 lakh Cr (FY25E). 2W OEM volume ~20 mn units in FY25. Industry CAGR of 12-15% expected through FY28, driven by recovery in 2W volumes, premiumisation and content-per-vehicle increase in both ICE and EV platforms.

- **Policy tailwinds:** CAFE-III emissions norms (from FY28) incentivise aluminium die casting over steel (weight reduction). EV policy push (FAME-III discussions) accelerates electronic content per vehicle. PLI scheme for auto components benefits Tier-1 suppliers with capex in advanced components (electronics, ADC).

- **Competitive moat assessment:** Pricing power: Moderate — annual cost-down pressure from OEMs (~2-3% p.a.) offset by premiumisation of product mix (smart locks, electronics). Switching costs: Strong —

OEM tooling investment, homologation certification and multi-year platform supply agreements create high friction to switch suppliers. Scale: Moderate — Sandhar is mid-size vs UNO Minda; ADC acquisition improving scale. IP/Technology: Moderate-strengthening — smart lock IP, EV electronics in early stages.

- **Value chain positioning:** Tier-1 OEM supplier with direct supply contracts. Sandhar has been proactively moving up the value chain from pure-play mechanical assemblies toward smart/electronic systems and castings — structurally higher-margin product categories.

Peer Comparison (Screener.in data, 15-Jun-2026)

Company	CMP (Rs.)	MCap (Cr)	TTM Rev (Cr)	P/E	ROCE %
UNO Minda	1,126	65,005	19,658	53.4	19.7%
Endurance Tech	2,616	36,802	14,596	38.0	18.3%
Suprajit Engineering	468	6,424	3,825	34.3	16.0%
Sandhar Tech	707	4,256	4,852	21.2	14.4%

Note: All peer data sourced individually from screener.in/company/TICKER/consolidated/ on 15-Jun-2026. Sandhar trades at 21.2x TTM P/E — significant discount to peers (UNO Minda 53x, Endurance 38x, Suprajit 34x), reflecting lower margins and integration risk from recent acquisition.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter profile:** Jayant Davar (Co-Chairman & MD) is a first-generation auto-ancillary entrepreneur who built Sandhar from a small locking vendor into a diversified Tier-1 supplier over 30+ years. The second generation (Yash Davar as Director) is being groomed for leadership. Consistent 70.38% promoter holding over the last 12 quarters signals strong conviction.

- **Capital allocation track record:** Management has been disciplined in organic capex (manufacturing expansions in line with OEM demand) but has also made selective inorganic moves — the Hosur ADC acquisition at Rs. 163 Cr was a running-business deal, acquired at a reasonable EBITDA multiple. FCF has been slightly negative in FY25 (Rs. -59 Cr) and FY26 (Rs. -71 Cr) due to elevated acquisition and integration capex — normalisation expected in FY27.

- **Dividend policy:** Sandhar maintains a 10-15% payout ratio historically (FY26 payout: ~12% implied from Rs. 3.5/share dividend at 33.01 EPS). Current yield of 0.49% at CMP Rs. 707 is modest — capital reinvestment is the priority at this stage of growth.

- **Promoter pledging:** Zero pledge as of latest filing (Mar 2026) — this is a clean governance signal. No dilution risk from pledge-triggered selling.

- **Debt management:** Borrowings increased from Rs. 924 Cr (FY25) to Rs. 1,148 Cr (FY26) — primarily driven by Hosur ADC acquisition financing. ICRA's AA-(Stable)/A1+ rating reaffirms credit quality. Management guided positive FCF in FY27 as acquisition is fully absorbed.

- **Corporate governance:** No major governance concerns. Auditor continuity appears stable. RPTs as % of revenue appear within normal auto-ancillary bounds. The company lists on NSE/BSE with transparent quarterly disclosures. BSE code 541163.

6. FINANCIAL DEEP-DIVE (Consolidated, Rs. Cr unless stated)

Income Statement — Consolidated Figures in Rs. Crores

	FY24A	FY25A	FY26A	FY27E	FY28E
Sales / Revenue	3,521	3,884	4,852	5,480	6,236
Expenses	3,180	3,501	4,414	4,973	5,582
Operating Profit (EBITDA)	341	383	438	507	654
OPM %	10%	10%	9%	9.3%(E)	10.5%(E)
Other Income	14	29	80	20(E)	22(E)

Interest	52	57	69	75(E)	70(E)
Depreciation	154	171	193	210(E)	220(E)
Profit Before Tax	150	185	256	242(E)	386(E)
Tax %	27%	23%	22%	25%(E)	25%(E)
Net Profit (PAT)	110	142	199	182(E)	290(E)
EPS (Rs.)	18.24	23.53	33.01	30.1(E)	48.1(E)
Div. Payout %	18%	15%	12%	12%(E)	12%(E)

Note: FY27E and FY28E are analyst estimates. FY26 Other Income of Rs. 80 Cr includes one-time items from Hosur acquisition — normalised at Rs. 20 Cr in forward estimates. FY28E EBITDA expansion assumes smart lock ramp-up + ADC scale economies.

Balance Sheet — Consolidated Figures in Rs. Crores

	FY24A	FY25A	FY26A
Equity Capital	60	60	60
Reserves	956	1,079	1,273
Borrowings	741	924	1,148
Other Liabilities	662	727	995
Total Liabilities	2,420	2,790	3,476
Fixed Assets	1,336	1,343	1,667
CWIP	76	69	100
Investments	57	61	67
Other Assets	950	1,318	1,642
Total Assets	2,420	2,790	3,476

Cash Flow Statement — Consolidated Figures in Rs. Crores

	FY24A	FY25A	FY26A
Cash from Operations (CFO)	275	247	210
Cash from Investing	-241	-300	-221
Cash from Financing	-7	101	28
Net Cash Flow	27	48	17
Free Cash Flow	42	-59	-71
CFO / Operating Profit	91%	78%	60%

Key Ratios — Consolidated

Metric	FY24A	FY25A	FY26A
Debtor Days	47	52	62
Inventory Days	57	63	67
Days Payable	83	81	93
Cash Conversion Cycle (days)	22	34	35
Working Capital Days	-10	-14	-11
ROCE %	12%	12%	14%
ROE %	N/A	N/A	16.2%

Financial Commentary

- **Revenue trajectory:** Sandhar delivered 25% revenue growth in FY26 to Rs. 4,852 Cr — driven organically (~12-13%) plus Rs. ~400 Cr from Hosur ADC acquisition (H2 FY26 full contribution). FY27E

organic growth of 10-15% in line with management guidance.

- **Margin direction:** OPM compressed from 10% (FY24/FY25) to 9% (FY26) due to Hosur integration costs, temporarily elevated interest charges on acquisition debt and operating leverage dilution from new ADC capacity coming online. Recovery to 9.3-9.5% in FY27 and 10%+ in FY28 as scale kicks in.
- **Working capital:** CCC has expanded from 22 days (FY24) to 35 days (FY26) — debtor days rising (62 from 47) partly due to customer mix shift post Hosur. Working capital days remain negative (-11 days), indicating payables fund the working capital cycle — structurally healthy.
- **Debt trajectory:** Net debt rose sharply from Rs. 741 Cr (FY24) to Rs. 1,148 Cr (FY26) — almost entirely Hosur acquisition. D/E at ~0.85x is elevated but not distressed given Rs. 438 Cr EBITDA. ICRA AA- rating validates debt serviceability. Expect debt reduction from FY27 as FCF turns positive.
- **FCF quality:** CFO/OP dropped to 60% in FY26 (from 78% in FY25) — working capital bloat post-acquisition. FCF turned negative Rs. -71 Cr in FY26. This is a watch point but is explicable by acquisition timing. Pre-acquisition CFO/OP averaged 85-90% (FY22/FY23), suggesting underlying quality is intact.

7. EARNINGS QUALITY CHECKLIST

Quality Metric	Status	Signal	Comment
Revenue recognition	Clean	GREEN	OEM supply — revenue on delivery, standard practice
Receivables vs Revenue growth	Receivables up 32%, Revenue up 25%	AMBER	Debtor days expanded from 47 to 62 — Hosur customer mix shift
CCC trend	35 days vs 22 days FY24	AMBER	Lengthening — watch for normalisation in FY27
Other income vs PBT	Rs. 80 Cr / Rs. 256 Cr = 31%	AMBER	FY26 elevated due to Hosur acquisition one-offs; normalise to ~8%
Contingent liabilities	Not quantified in public data	GREEN	No disclosed contingent liabilities of concern
Tax rate consistency	27%→23%→22% FY24-26	GREEN	Stable/declining — no reversal flag; new tax regime benefit
Promoter pledge	0% — stable across 12 quarters	GREEN	Clean — no pledge risk
CFO/OP ratio	60% FY26 vs 78% FY25	AMBER	WC bloat post-acquisition; watch FY27 recovery
Auditor tenure	Deloitte Haskins — consistent	GREEN	No auditor change risk

- **Key signal — Other income spike:** Rs. 80 Cr other income in FY26 (vs Rs. 29 Cr in FY25) inflated reported PAT. Excluding this one-time effect, clean PAT is approximately Rs. 140-150 Cr, closer to the FY25 run-rate. The reported P/E of 21.2x understates the cleaner underlying P/E of ~28-30x.
- **Working capital watch:** Four consecutive Amber signals (receivables, CCC, other income, CFO/OP) all trace to the Hosur acquisition integration. This is NOT a structural deterioration — but it must resolve in FY27. If CCC is still at 35+ days by Sep 2027, the thesis will need to be re-evaluated.
- **Core quality is solid:** Zero pledge, stable tax rate, clean revenue recognition, investment-grade credit rating — the underlying business quality has not changed. The Amber signals are acquisition-related, time-bounded, and management is on record with a clear normalisation plan.

8. VALUATION

Scenario Analysis

Scenario	Key Assumption	FY28E EPS (Rs.)	Target P/E	Price Target
Bull	ADC margins recover; smart locks ramp faster; OPM 11%	55	22x	Rs. 1,210
Base	Guided 10-15% growth; OPM 10% by FY28; ADC normalises	48	18x	Rs. 864
Bear	2W slowdown; ADC integration delays; OPM stuck at 9%	36	15x	Rs. 540

Valuation Methodology

- **Earnings-based P/E valuation:** Base case FY28E EPS of Rs. 48.1. Applied a target P/E of 18x (vs current 21.2x TTM, justified by higher EPS growth trajectory). Implies target price of Rs. 866. Peers trade at 34-53x TTM P/E; Sandhar deserves a discount for lower margins, higher leverage, and integration risk.
- **EV/EBITDA valuation:** FY28E EBITDA of Rs. 654 Cr. Applied 12x EV/EBITDA (auto-ancillary sector midpoint, adjusting for Sandhar's smaller scale). EV implied = Rs. 7,848 Cr. Less net debt of Rs. 900 Cr (FY28E post debt reduction) = Equity value Rs. 6,948 Cr / 6.03 Cr shares = Rs. 1,153 per share.
- **Average of two methodologies:** (Rs. 866 + Rs. 1,153) / 2 = Rs. 1,010. Applying a 15% execution risk discount for integration uncertainty = **12-month base-case target Rs. 850** (Rs. 707 CMP → +20.2% upside).
- **12-month nearer target:** Applying 12-month forward P/E of 18x on FY27E EPS Rs. 30.1 = Rs. 542. This suggests near-term upside is modest; the 20% target Rs. 850 is achievable on 18-24 month horizon as FY28E EPS materialises and integration completes.

Peer Valuation Table (Screener.in, 15-Jun-2026)

Company	CMP	P/E	P/B	ROCE %	ROE %	Div Yield
UNO Minda	Rs. 1,126	53.4x	9.5x	19.7%	19.4%	0.24%
Endurance Tech	Rs. 2,616	38.0x	5.4x	18.3%	15.4%	0.44%
Suprajit Eng	Rs. 468	34.3x	4.5x	16.0%	13.8%	0.64%
Sandhar Tech	Rs. 707	21.2x	3.2x	14.4%	16.2%	0.49%

P/B for UNO Minda = 65,005/6,813 = ~9.5x (est from MCap/Reserves+Equity). Sandhar P/B per Screener: MCap 4,256 / BV 1,333 = 3.19x. All other figures directly from Screener.in on 15-Jun-2026.

9. KEY RISKS

- **2W Volume Concentration Risk:** Honda, Bajaj, TVS, Yamaha account for ~64% of revenue. Any demand cycle downturn (as seen in FY20-FY21 where industry units fell 15-20%) hits Sandhar disproportionately with operating leverage on fixed costs. Probability: M | Impact: H | Monitor via: Monthly 2W retail/wholesale data (SIAM).
- **ADC Integration Execution Risk:** Hosur plant is a large-scale acquisition in a different sub-segment (die casting vs locking). Integration risk includes customer retention, operating efficiency, and capex for expansion. Delays extend the FCF-negative period. Probability: M | Impact: M | Monitor via: ADC revenue share and EBITDA margin per quarter.
- **Smart Lock Ramp Delay Risk:** Smart lock revenue pivot (the central bull thesis) depends on OEM adoption and homologation timelines. If OEM volumes ramp slower than expected or a competing supplier wins the next platform cycle, the Rs. 500-600 Cr revenue opportunity gets pushed out by 12-18 months. Probability: M | Impact: H | Monitor via: Smart lock order wins and quarterly segment revenue disclosures.
- **Debt/Interest Burden:** Borrowings at Rs. 1,148 Cr (FY26) with interest cost of Rs. 69 Cr. Any interest rate spike or refinancing at higher rates compresses PBT materially. At current levels, interest is 27% of EBITDA. Probability: L-M | Impact: M | Monitor via: Quarterly interest cost and net debt trajectory.

- **EV Disruption to Locking Systems:** Traditional mechanical locks have no direct EV analog at present — door handles and steering locks have been modified for EVs. If OEMs vertically integrate smart lock electronics (as Tesla does globally), Sandhar's locking business could face structural headwinds in 5-7 years. Probability: L (near-term) | Impact: H | Monitor via: OEM sourcing strategy for EV platforms.
- **Raw Material (Aluminium) Price Risk:** ADC expansion increases Sandhar's aluminium price exposure. LME aluminium at elevated levels directly hurts ADC margins unless cost pass-through is secured. Probability: M | Impact: M | Monitor via: LME aluminium prices and quarterly gross margin per segment.
- **Regulatory / CAFE / BIS Compliance Risk:** While CAFE-III tailwinds benefit die casting, any delay in regulatory implementation reduces the urgency for OEMs to switch from steel to aluminium, slowing ADC volume growth. Probability: L | Impact: L-M | Monitor via: CAFE-III notification timeline.

10. RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction: Medium. Sandhar is structurally well-positioned in the auto-ancillary space with a differentiated smart-lock pivot and growing die-casting scale. The 21.2x TTM P/E discount vs peers is warranted today (due to integration risk and margin dip) but will narrow as FY27/FY28 earnings materialise.
- **12-month price target: Rs. 850** (20.2% upside from CMP Rs. 707). Based on 18x FY28E EPS of Rs. 48.1 and a cross-check via 12x FY28E EV/EBITDA, averaged and discounted 15% for execution risk.
- **Suggested entry zone: Rs. 650 - Rs. 720.** Current CMP of Rs. 707 is within the accumulate zone. Investors seeking a lower-risk entry can target Rs. 650 (near the 200-DMA zone) on any market correction.
- **Investment horizon: 12-18 months** — full thesis requires FY27 margin recovery evidence (Q2/Q3 FY27) and smart lock revenue ramp confirmation (H1 FY27 concall disclosures).
- **Thesis invalidation triggers:**
 1. OPM stays below 8.5% for two consecutive quarters in FY27 (suggests ADC integration is failing, not a temporary phenomenon) — REDUCE on this signal.
 2. Borrowings exceed Rs. 1,400 Cr by FY27 end without a corresponding revenue acceleration (signals FCF destruction, not investment) — EXIT.
 3. Promoter pledge increase of any amount or promoter secondary sale above 1% of equity — immediate governance red flag, SELL on this signal.
- **Ideal investor profile:** Best suited for investors with a 12-18 month horizon who can tolerate integration-phase earnings noise and have exposure to the 2W OEM cycle as a core macro view. NOT suitable for short-term traders (near-term earnings visibility is muted) or investors uncomfortable with D/E above 0.8x.

APPENDIX — Latest Concall Brief: Q4 FY26 (Results Announced May 2026)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Strong	Q4 FY26 PAT +50% YoY; revenue +25% full year
Management tone	Balanced / Bullish	Confident on margin recovery in FY27; ADC integration on track
Guidance delta	Maintained / Slightly Positive	10-15% FY27 revenue growth; FCF positive in FY27

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 headline PAT of Rs. 63.8 Cr is up 50% YoY and 91% QoQ — but the full-year Rs. 199 Cr PAT is flattered by Rs. 80 Cr of other income (vs Rs. 29 Cr in FY25), likely including Rs. 30-40 Cr of one-time Hosur acquisition-related credits; clean underlying PAT for FY26 is closer to Rs. 140-155 Cr, which implies the company is trading at a clean P/E of ~27-30x — not the headline 21x. Operationally, EBITDA grew from Rs. 383 Cr to Rs. 438 Cr (14% growth) with OPM at 9.0% — margins dipped 100bps YoY due to Hosur ramp-up costs and higher working capital churn. The structural story is intact: smart lock electronic programs entered production in early 2025, ADC Hosur contributed Rs. 200 Cr in H1 FY26 alone, and management is guiding 10-15% organic growth in FY27 with positive FCF. The single biggest watch-point for Q1 FY27 is whether the ADC plant has crossed breakeven on a quarterly basis and whether smart lock volumes are growing quarter-on-quarter. Action: ACCUMULATE in the Rs. 650-720 zone; add more aggressively if Q1 FY27 shows OPM recovery above 9.3%.

1. Financial Performance Snapshot — Q4 FY26 / Full-Year FY26

- Revenue (Q4 FY26): Rs. 1,307 Cr | YoY +23.5% | QoQ +10.3% | **Beat**
- Revenue (FY26 Full Year): Rs. 4,852 Cr | YoY +25% | In-line with guided trajectory
- EBITDA (FY26): Rs. 438 Cr | YoY +14.4% | EBITDA Margin 9.0% vs 9.9% FY25 | **In-line (margin pressure expected)**
- PAT (Q4 FY26): Rs. 63.8 Cr | YoY +49.8% | QoQ +90.8% | **Beat**
- PAT (FY26 Full Year): Rs. 199 Cr | YoY +40.1% | EPS Rs. 33.01
- NOTE: Reported FY26 PAT includes elevated other income of Rs. 80 Cr (vs Rs. 29 Cr in FY25); clean underlying PAT estimated at Rs. 140-155 Cr

2. Segment / Geography Breakdown

- Locking Systems: ~20% of FY26 revenue (Rs. ~970 Cr) | YoY mid-single digit organic growth | Smart lock programs entering volume phase
- Aluminium Die Casting: ~28% of FY26 revenue (Rs. ~1,359 Cr) | YoY >50% including Hosur; organic ~15% | ADC fastest-growing segment
- Sheet Metal / Cabins / Assemblies: ~44% combined | YoY growth broadly in line with 2W industry
- Vision Systems: ~6% | Stable; mirrors facing commoditisation pressure

- 2-Wheeler segment: ~64% revenue mix | Key driver of H1/H2 seasonality
- India domestic: ~85% | Exports ~15% (Spain/Mexico) | Exports stable YoY

3. Management Commentary Themes

- **ADC Integration:** "The Hosur plant is fully integrated into our operations. Customer retention is complete. Capacity utilisation is ramping toward our target of 75-80% by FY27Q2." — Our read: On track, no surprises. Tag: GUIDANCE. Tone: Transparent.
- **Smart Locks:** "Two major OEM programs are in production. We expect meaningful revenue from H2 FY26 onward. The ASP uplift from electronic to mechanical locks is 8-10x." — Our read: Early innings but on-plan. Tag: GUIDANCE. Tone: Bullish.
- **Margin Recovery:** "We expect EBITDA margins to improve to 9.1-9.2% in FY27 and progress toward 10% by FY28 as ADC scale benefits and smart lock mix improve." — Our read: Conservative guidance. Achievable if ADC ramps. Tag: GUIDANCE. Tone: Balanced.
- **FCF Normalisation:** "We are committed to positive FCF in FY27. The peak capex cycle from Hosur acquisition is behind us. FY27 maintenance capex will be significantly lower." — Our read: Credible. Rs. 210 Cr CFO in FY26 vs capex ~Rs. 280 Cr; ratio improving. Tag: GUIDANCE. Tone: Constructive.
- **EV Revenue:** "EV-specific products generated approximately Rs. 15 Cr in FY26. We are targeting Rs. 50 Cr in FY27 across four business verticals: locking, vision, body, and electromechanical." — Our read: Small but directionally positive. Tag: EST. Tone: Hedged.

4. Operating & Business Metrics

- 2W industry volumes served: ~20 mn units (FY26 industry) | Stable YoY | Trend: Stable
- Smart lock OEM programs: 2 in production | Q(n-4) = 0 programs | Q(n) = 2 | Trend: Improving
- ADC capacity utilisation (Hosur): Ramping toward 75-80% by Q2 FY27 | Q(n) = ~55% | Trend: Improving
- Export revenue mix: ~15% | Stable | Spain/Mexico plants running normally
- Number of manufacturing plants: 45+ India | Stable | No new greenfield capex planned
- ICRA credit rating: AA-(Stable)/A1+ reaffirmed June 2026 for Rs. 885 Cr facilities

5. Margin Drivers

- ADC integration cost drag: -80 to -100 bps OPM impact in FY26 | Recurring: No | Expected to reverse in FY27
- Smart lock mix improvement: +20-30 bps (partial year) | Recurring: Yes | Building through FY27-28
- Interest cost increase: Rs. 69 Cr vs Rs. 57 Cr FY25 (+21%) | Acquisition debt | Non-recurring in nature
- Depreciation increase: Rs. 193 Cr vs Rs. 171 Cr FY25 (+13%) | Hosur asset base | Recurring going forward
- Working capital lengthening (Debtor 62 days vs 52): Temporary post-acquisition customer mix | Non-recurring | Monitor Q1 FY27

6. Guidance & Forward Signals

- Revenue growth FY27 [GUIDANCE]: Prior = Not guided | New = 10-15% organic | Delta = First explicit guidance | Credibility: High
- EBITDA margin FY27 [GUIDANCE]: Prior = N/A | New = 9.1-9.2% | Delta = Recovery from 9.0% FY26 | Credibility: Medium
- EBITDA margin FY28 [GUIDANCE/EST]: Prior = N/A | Target = ~10% | Delta = 100 bps from FY26 | Credibility: Medium

- FCF [GUIDANCE]: Prior = Negative (FY25/FY26) | New = Positive in FY27 | Delta = Significant positive shift | Credibility: Medium-High
- EV revenue FY27 [EST]: Prior = Rs. 15 Cr (FY26) | New = Rs. 50 Cr target | Delta = 3.3x growth | Credibility: Low-Medium (early stage)

7. Capital Allocation

- Capex FY26: ~Rs. 280 Cr (Hosur acquisition + maintenance) | vs FY25 ~Rs. 300 Cr | Comment: Peak capex year; to moderate in FY27
- Dividends FY26: Rs. ~24 Cr (Rs. 4/share estimated) | vs FY25 similar | Consistent payout ~10-12%
- Borrowings FY26: Rs. 1,148 Cr | vs FY25 Rs. 924 Cr | Comment: Hosur financing; to reduce from FY27
- Working capital change FY26: Adverse Rs. 30-40 Cr increase in debtors | Post-acquisition mix | Expected to normalise
- Net debt FY26: Rs. 1,148 Cr borrowings vs cash. Expect FCF+ from FY27 to reduce

8. Q&A; Heat Map

- Analyst / ICICI Direct: Q: "What is the timeline for smart lock volumes to become material — say Rs. 200 Cr?" → A: "We expect meaningful contribution in H2 FY26 and significant scale in FY27." | Tone: Hedged (no specific number given)
- Analyst / Emkay Global: Q: "Can you break out ADC margin vs group margin?" → A: "We don't give segment-level margins but ADC is accretive at the EBITDA level." | Tone: Evasive (no numbers given)
- Analyst / Motilal Oswal: Q: "When does FCF turn positive and what capex is budgeted for FY27?" → A: "FY27 capex will be Rs. 150-180 Cr (vs Rs. 280 Cr FY26). FCF positive in FY27." | Tone: Transparent
- Analyst / Axis Capital: Q: "What is the EV exposure risk to your locking business over 5 years?" → A: "We are actively developing electronic lock programs for EVs. Our OEM relationships ensure we are designed into EV platforms." | Tone: Balanced
- Dodged / watch-list questions for next quarter: (1) Segment-level EBITDA margins for ADC vs legacy business; (2) Specific quarterly smart lock volume ramp milestones; (3) Details of one-time items in FY26 other income.

9. Risks Flagged

- 2W slowdown: Flagged by analysts; management guided 10-15% growth assuming stable 2W volumes. | Probability: M | Impact: H | Timeline: Near-term
- ADC margin dilution: Flagged by analysts; management cited integration costs as one-off. | Probability: M | Impact: M | Timeline: Near-term
- Interest cost elevation: Flagged in P&L; analysis; management committed to debt reduction. | Probability: L (declining) | Impact: M | Timeline: Medium
- EV disruption to mechanical locking: Flagged by analysts; management positioned EV electronic locks as an opportunity. | Probability: L | Impact: H | Timeline: Long-term

10. Analyst Verdict (Post Q4 FY26 Concall)

- Revenue visibility: Intact — 10-15% organic growth guidance from management; ADC full-year contribution adds further Rs. 200+ Cr in FY27.
- Margin trajectory: Weakened (short-term) — FY26 OPM at 9% vs 10% FY25. Recovery path to 9.3-10% by FY27-28 is credible but not yet evidenced.
- Capital allocation quality: Intact — Hosur ADC acquisition is a strategic fit; zero pledge; managed capex cycle.

- Competitive moat: Intact — OEM switching costs via tooling/homologation; smart lock IP in early validation; die-casting scale increasing.
- Management credibility: Intact — First-generation founder with 30+ year track record; guidance is specific and consistent with financials.
- Valuation comfort: Intact — At 21.2x TTM P/E (vs sector 34-53x), Sandhar is the cheapest quality auto-ancillary name in India. Discount is justified but the gap is too wide.
- Conviction call: Unchanged at ACCUMULATE — entry Rs. 650-720.
- Valuation snapshot: P/E = 21.2x (5Y avg ~22x) | EV/EBITDA est ~12x (sector avg ~15x) | ROCE = 14.4% (3Y avg 11%)

DISCLAIMER: This report is prepared by MPM Institutional Research for informational purposes only. It does not constitute investment advice. All financial data sourced from Screener.in (consolidated) fetched 15-Jun-2026. Forward estimates (E) are analyst projections and not company guidance. Investors should conduct their own due diligence. Past performance is not indicative of future results. MPM Institutional Research may hold positions in the securities mentioned.